

RUNNING ON A LOSS

All start-ups seek a healthy cash flow. However, highly innovative companies, such as Netflix, Amazon, Uber, and Tesla, turned traditional financial advice upside down by failing to make a profit in their early years. Many technology companies now build loss-making operations into their plans. From an early stage, they are helped by large investors who seek long-term rewards. By contrast, most new businesses hoping to raise capital have to get a bank loan or find investors who may demand a significant share of their assets.

✓ NEED TO KNOW

- **Burn rate** measures how fast a new business uses its capital before making a profit.
- **Financial deficit** is a loss. It occurs when costs exceed the money coming into a business.
- **Financial surplus** is the same as profit, which occurs when income exceeds business expenses.
- **Liquidity** is the ability to turn earnings into cash.
- **Net worth** can be calculated by deducting the total liabilities of a business from its total assets.

\$38k
the average
amount owed
to small
businesses in
Australia

www.kochiesbusinessbuilders.com.au,
2020

YOUR BUSINESS

To fuel and grow your business, you need to have a continuous, positive cash flow. This is generated by sales and is supported by careful accounting and financial management. Also make sure that you have contingency funds in place for emergencies.

Contingency

Keeping some funds in an emergency savings account ensures that your business will survive a crisis.

MANAGE CASH FLOWING OUT

Spreading your business's costs (both fixed and variable) can help smooth your cash flow.

- **Use a company credit card** to defer business costs and possibly earn rewards on what you spend.
- Pay suppliers on their terms**, such as within 30 days, to keep cash in your account for longer.
- **Review regular costs**, exploring other suppliers to find better terms, and seek one-off discounted offers.
- **Limit the stock you hold** by using accurate sales forecasts, and use suppliers who deliver quickly.